AI APPLICATIONS IN FINANCE · FINAL PROJECT

Unexplained Pessimism

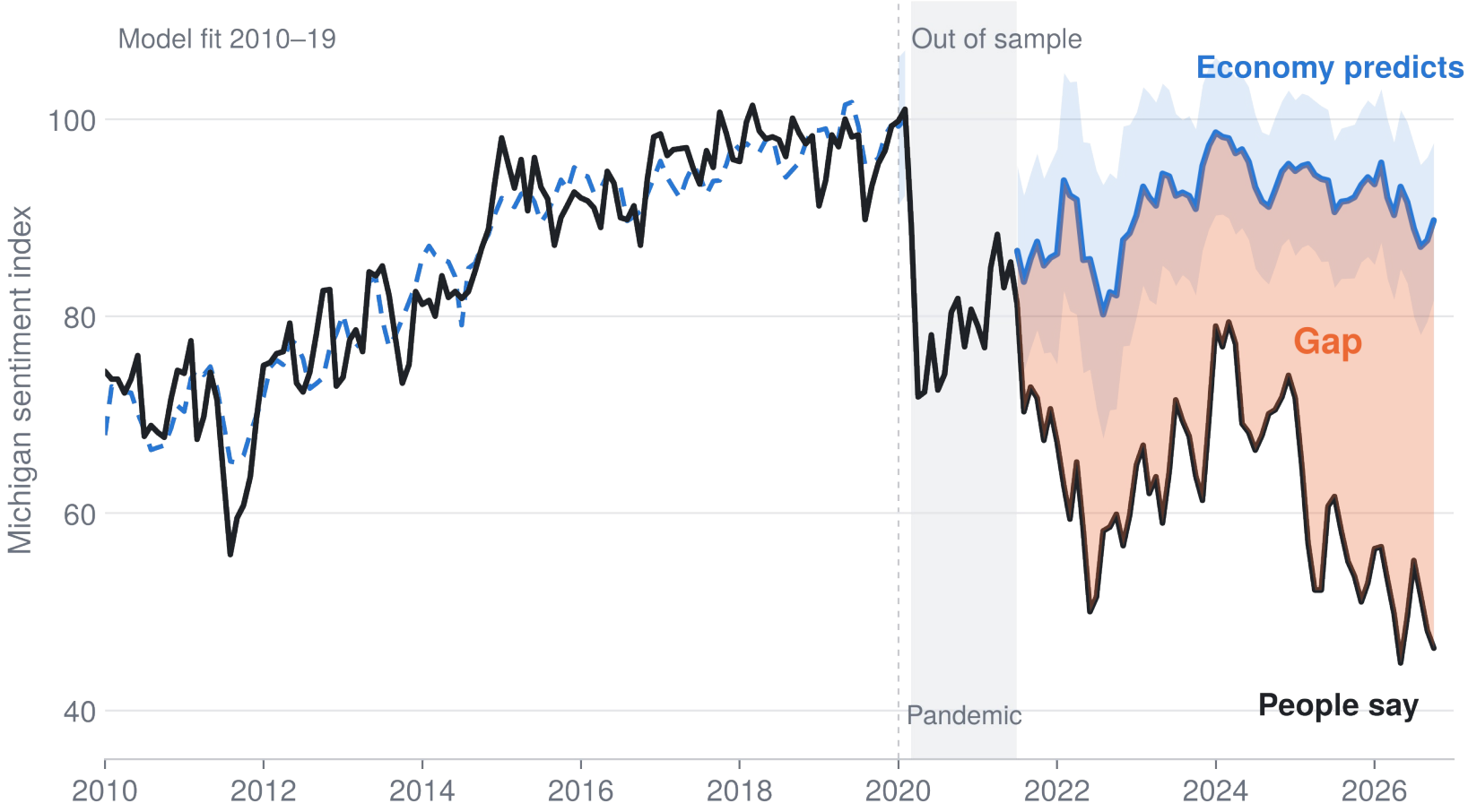
Economic fundamentals, media narratives and U.S. consumer sentiment before the 2026 midterms

Jonas Wu · Data through October 16, 2026



THE PUZZLE

Sentiment is ~40 points below the economy's prediction



−35.8

points, 2025 average gap

−39.8

points, 2026 average gap

7–11%

of the fall since 2019 that the economy explains

Model: real-time unemployment, PCE inflation and GDP growth (ALFRED vintages), fit 2010–19. Band: 95% prediction interval. Pandemic months not modelled.

THREE EXPLANATIONS

Three ways to explain the gap

H1

Real pressures

High prices and rates the headline numbers miss

?

H2

Media

Selection, framing or bias in coverage

?

H3

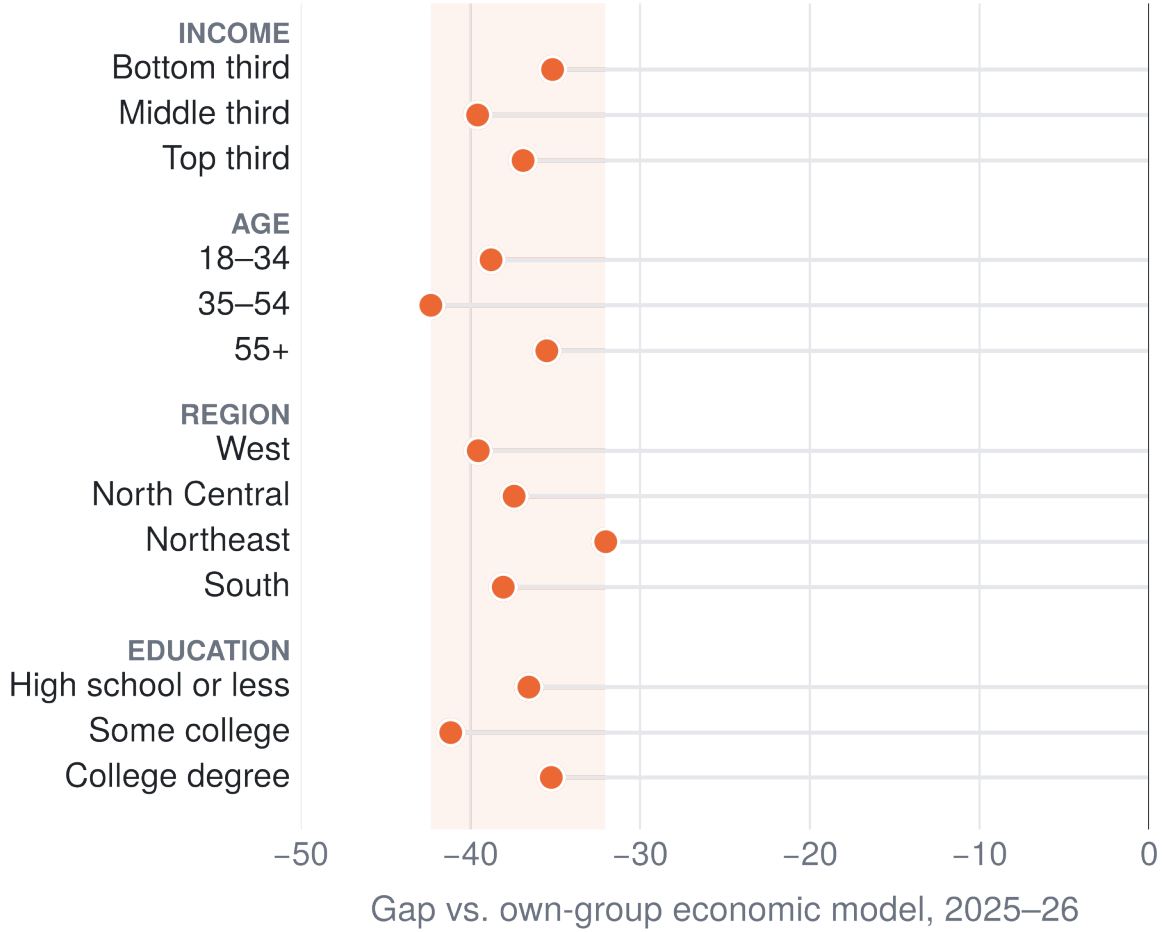
Measurement

Survey method, timing or the model

?

- All tests fixed before estimation
- 150 specifications registered
- 8 pre-set tests against the media story

Not the survey, not party mix, not the campaign



−23 → −39

Gap kept widening after the survey moved online (late 2024 → 2026)

≤ 2.7 pts

Largest plausible effect of the party mix of respondents

−38.8 → −40.4

Gap in Jan–Apr vs. May–Oct 2026: already there before the campaign

Group gaps: each group's own economic model, fit 2010–19; mean 2025-01 to 2026-08. Party-mix bound: Republican share 2–6 points lower.

An AI coder that nearly matches human agreement

167,418
news items, posts and comments

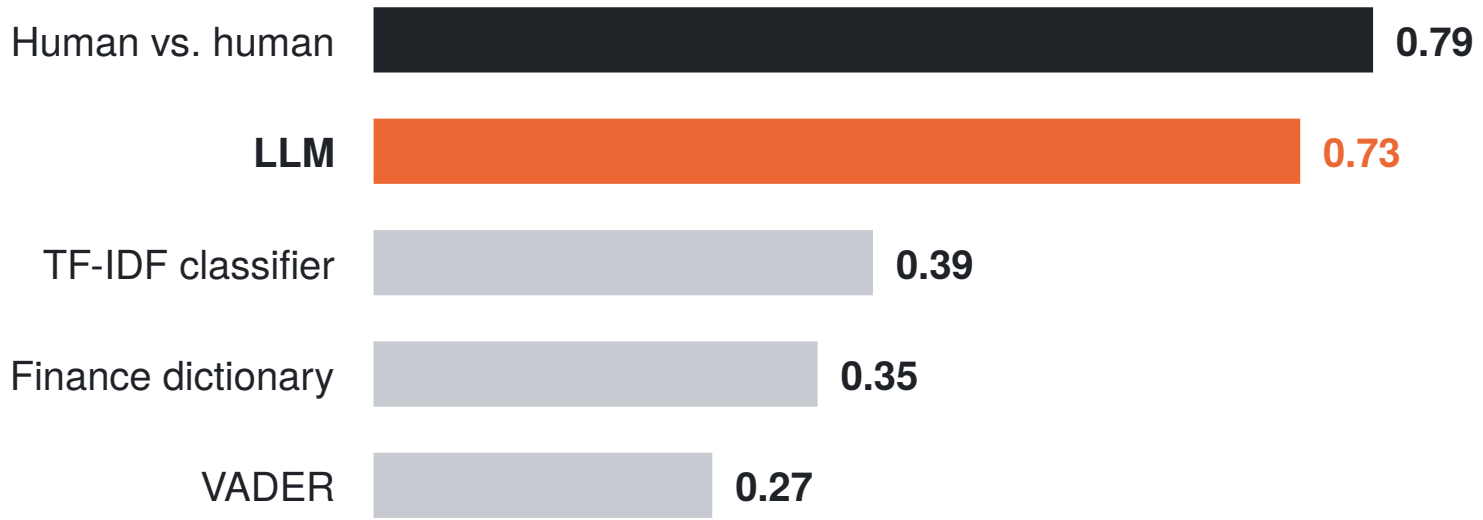
→

11,431
coded by an LLM

→

360
labeled by two people, independently

Agreement with the human labels on tone (Cohen's κ, test set)



✓

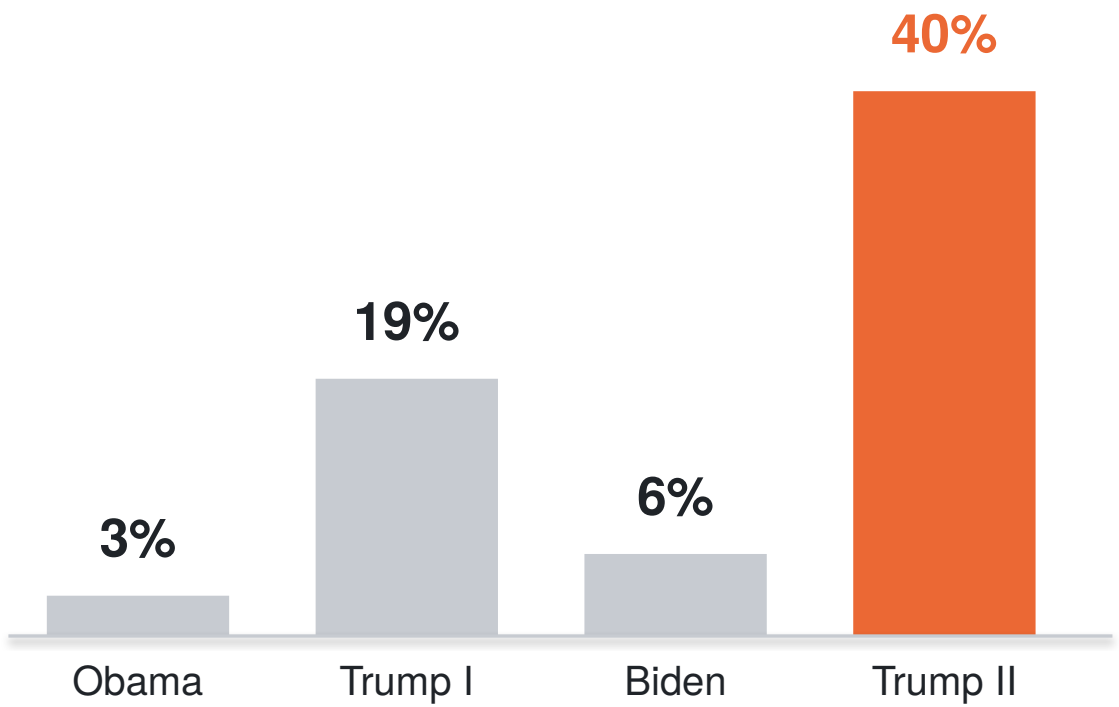
Name and source swaps
0 of 39 tests show bias

Gold standard: 360 items, two annotators, adjudicated; LLM prompt frozen on 100 development items and scored once on 260 test items.

Even-handed tone, but more blame on the White House

- ✓ Good and bad news treated alike
- ✓ Rising and easing prices treated alike
- ✓ 2 of 68 checkable numbers wrong

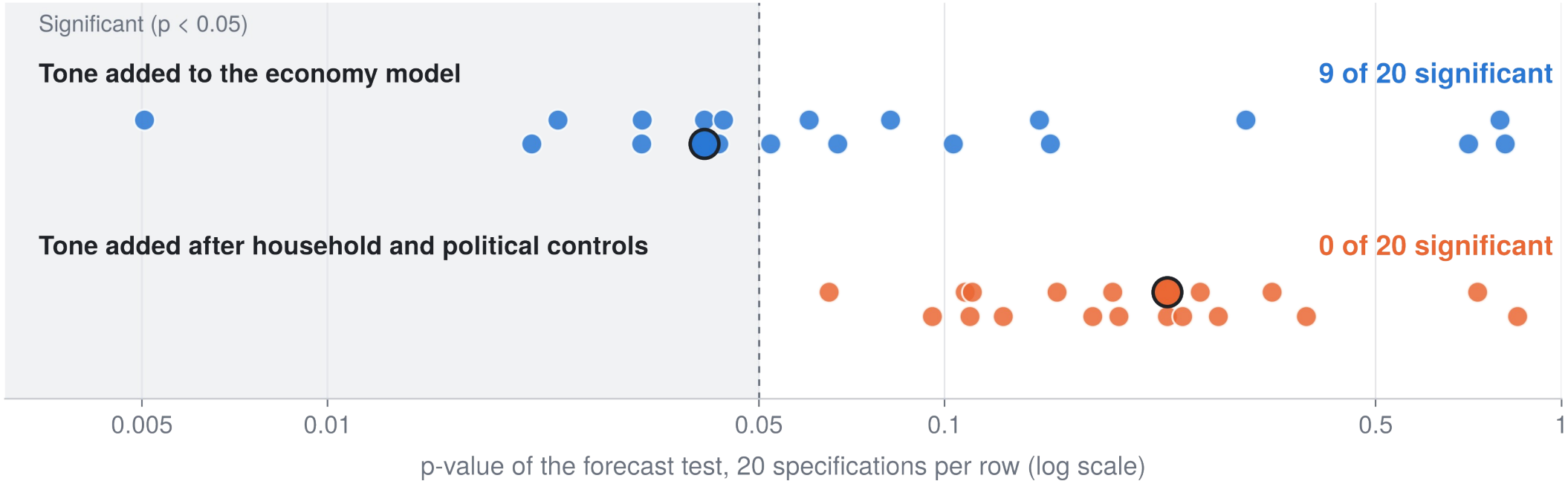
Share of economic news items blaming the White House



Blame is not proof of bias: tariffs are the president's own decisions

National news (NYT, Guardian), LLM-coded. Factual check against the official data available on the publication date.

Tone stops helping forecasts once controls are in



≤ 5% of the 2025–26 gap is linked to news tone, at most

One-step-ahead forecasts 2017–26, Clark–West test. Outlined dot = main specification. Controls: household pressures, governing party, pre-election month.

VERDICT

Media bias is not the main explanation

H1

Real pressures

High prices and rates the headline numbers miss

OPEN

Plausible, but the 2010–19 data cannot size it

H2

Media

Selection, framing or bias in coverage

WEAK

≤ 5% of the gap; 2 of 8 tests go against it

H3

Measurement

Survey method, timing or the model

RULED OUT

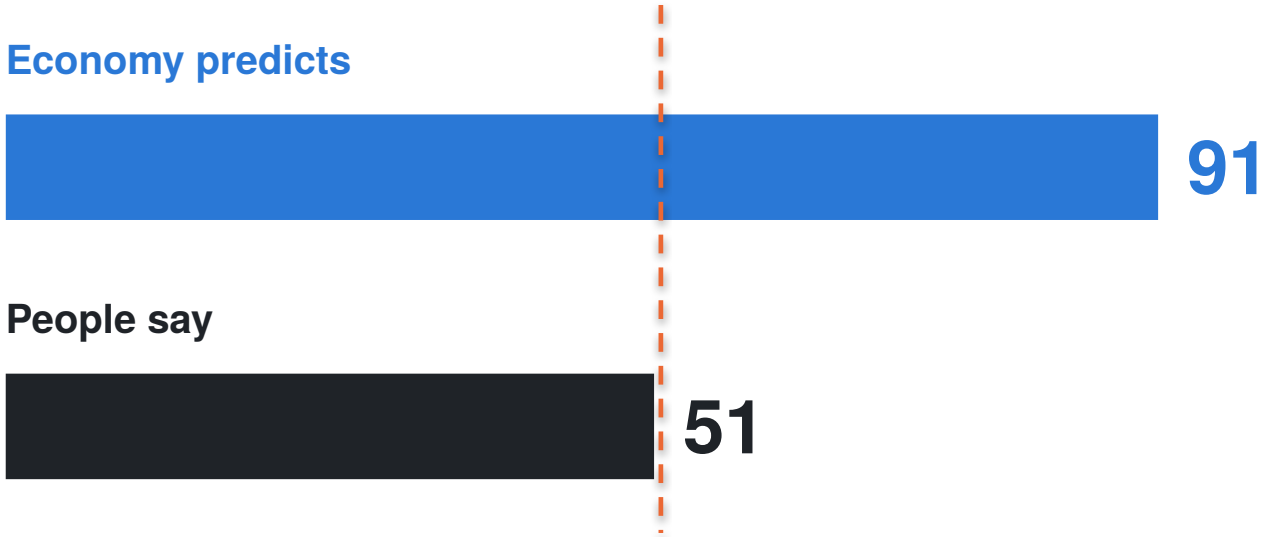
Not survey mode, party mix or timing

Limits observational data; two national outlets, about 26 items a month
Next a randomized framing experiment to test cause

IMPLICATION FOR FORECASTING AND RISK

Treat the gap as persistent, not as noise

Michigan index, 2026 average



1 **Don’t use pre-2020 mappings**
They would read today as a deep downturn

2 **Track the gap and its error band**
Next to price levels and mortgage rates

3 **Skip news-tone signals here**
No forecast gain once those are included

Prediction: economy-only model (real-time data, fit 2010–19), January–October 2026. The dashboard tracks the gap and its band each month.